



THE AMERICAN HOME LIFE INSURANCE COMPANY

GENERAL AGENT CONTRACT

THIS CONTRACT, effective this _____ day of _____, 20____ ("Effective Date"), made by and between AMERICAN HOME LIFE INSURANCE COMPANY (hereinafter "Company") and _____, (hereinafter "You").

Article I – Appointment

1. Appointment

The Company hereby appoints You as its General Agent, subject to the terms and conditions set forth herein. You are authorized to solicit, procure and submit applications for insurance issued by the Company in accordance with applicable state laws and regulations, the rules and regulations of the Company and the provisions of this Contract.

Article II – Terms and Conditions

1. Relationship

a) It is understood and agreed that You shall be an independent contractor. Nothing herein shall be construed to create the relationship of employer and employee between Company and You. b) You shall be responsible for payment of any applicable taxes levied by federal, state, or local authorities as a result of compensation arising hereunder. You must comply with all federal, state and local laws applicable to this Contract. You shall also accept full responsibility for obtaining and paying for all necessary insurance including, but not limited to, liability, errors and omissions and vehicle insurance and shall hold the Company harmless from all claims, demands and suits arising out of performance of services and the sale of goods under this Contract.

2. Authority

a) You shall have the authority to recruit and recommend to the Company individuals to be appointed as General Agents of Company. No recommendation or application for appointment or Contract will be effective until approved by Company in writing. b) You are authorized to solicit applications for insurance for Company in the state(s) in which You are duly licensed and in accordance with Company's policies and procedures. You will only solicit business under this Contract in states where Company has a Certificate of Authority. c) You agree that Company may, at its sole discretion, deny any applications for coverage, refuse to renew any coverage or return directly to covered persons or applicants any premium payments submitted to the Company without specifying to You the cause for such action. d) You are required to comply with all state requirements and Company's policies and procedures concerning the replacement of life insurance policies. A replacement will be considered to have occurred in any situation specifically set forth in Company's policies and procedures, Company's Field Guide, or as specifically defined in any applicable state law or regulation as a replacement transaction. For any transaction involving a replacement, Company requires that You follow all procedures and complete all forms required by the Company's policies and procedures, the Company's Field Guide, or as specifically required in any applicable state law or regulation. e) You agree to conform to all policies and procedures of the Company and to comply with those Federal and State laws and regulations pertaining to the business of insurance.

3. Limitation of Authority

You shall not: a) Utilize any advertisement regarding the Company or its products without obtaining prior written approval from Company. For purposes of this Agreement, the term "Advertisement" means any printed or published or audio visual material or sales talks utilized in direct mail, newspaper, magazines, radio or television scripts, the internet or other electronic means, billboards or similar displays where such Advertisement utilizes the Company name or logo or refers to any of Company's products. b) Extend, waive or change any terms, conditions, or provisions of any policy, or bind Company on any application for, or policy of, insurance. c) Extend the time allotted for payment of any premium due; guarantee dividends or interest rates, or make any estimates thereof; name special rates; deliver any policy except as directed by Company; endorse checks payable to Company; or receive monies due or to become due to the Company, except the initial premiums on applications obtained by You or General Agents appointed by You. d) Reproduce any software or other material provided by Company without the prior written consent of Company. All such software or other material shall be used exclusively in the performance of this Contract and may not be used or distributed for any other purpose. All such software or other material shall remain the sole property of Company and shall be returned by You to Company upon termination of this Contract. e) Have any power or authority other than that expressly granted herein and no other or greater powers shall be implied from the grant or denial of powers expressly mentioned herein. f) Enter into any contracts or obligations except as herein specifically provided, or incur any expense on behalf of the Company without its written authority, and shall not institute any legal proceedings of any kind in connection with the Company's business, or on the Company's behalf, without written approval of the Company.

4. General Agent's Responsibilities

You are responsible to: a) Maintain proper records with respect to the business transacted hereunder, in such manner and form as may be required by Company or any regulatory authority in the states in which You operate. Such records shall be the property of the Company, whether or not paid for by Company and shall be made available for audit by the Company, or its representatives, with or without prior notice, during all business hours and shall be turned over to Company immediately upon termination of this Contract. b) Render such services to policyholders and beneficiaries of Policies as Company may require, generally endeavor to promote the best interests of the Company and conduct yourself in such manner so as not to adversely affect your business or reputation or that of the Company. c) Remit promptly to Company all premiums collected on Company's behalf by You or your General Agents. Until remitted to us all premiums collected are to be held by You as fiduciary, for the benefit of the Company, in a separate account not co-mingled with personal funds. d) Pay promptly to Company, upon demand, all amounts due by reason of commission charge backs, advances, loans, overpayments or otherwise. e) Make available to Company all information which comes into your possession concerning the underwriting of any risk. f) Obtain and process, where applicable, all necessary policy delivery receipts, as well as all replacement or disclosure forms of any nature. g) Deliver a policy only if: 1) the proposed insured at the time of delivery is, to the best of your knowledge and belief, in as good of a condition of health and insurability as stated in the application for such policy; 2) the first premium has been fully paid; and, 3) not more than (30) days have elapsed since the policy was issued by Company. h) Maintain, if requested by Company, a bond, errors and omissions coverage, or other coverage in such manner and amount as the Company may require.

5. Commissions

a) You will be paid commissions on premiums paid to Company on insurance policies issued and procured by You. Compensation shall be payable in accordance with the attached Commission Schedule or the Commission Schedule in effect at the time the premium is submitted, and in compliance with the standard practices and procedures of the Company. Deferred first year and renewal commissions shall be 100% vested immediately. There are no production requirements to vest such renewal commissions. We will also pay You overwrite commissions on business written by any subordinate General Agents appointed by You. The amount of such commissions shall be the difference between the commission rate for subordinate General Agents and your rate of commission. Company reserves the right to change its practices and procedures from time to time without notice to You, as it may deem necessary. b) The Commission Schedule attached to this Contract may be amended by the Company at any time for any reason upon written notice to You, provided such change shall only be applicable to policies of insurance issued thereafter. c) Should Company, for any reason, refund or waive any premium on any policy procured hereunder, You shall, immediately upon demand, repay any commissions or service fees received with respect to that premium. Such repayments shall be made payable to Company at its home office in Topeka, Kansas. d) If any policy procured by you or any subordinate General Agent shall lapse, Company's liability to You for further commissions shall cease, unless the policy is reinstated and You, or a subordinate, is determined to be the efficient procuring cause of such reinstatement. e) If a new policy replaces an existing policy or if an existing policy is terminated or lapses after issue of the new policy, the commissions payable on the new policy will be determined by the Company based on the rules and regulations in effect at the time the new policy is issued. f) To the extent any provision of this paragraph 5. is inconsistent with the policies and provisions of Company set forth in the Field Guide or elsewhere, said provisions of the Field Guide or other written policies of the Company shall control. g) During the continuance of this contract, a non-vested service fee will be paid to You for the 11th and subsequent policy years, on covered policies written since the date of this contract, in accordance with the terms and conditions of the attached commission schedule and as further provided herein. To be eligible to earn

and receive a service fee, the total insurance in force under this contract must be equal to, or in excess of four million dollars (\$4,000,000). Total insurance in force will be determined at the end of the 10th contract year, and annually thereafter. h) The names of no more than two General Agents shall appear on the application and, in such cases, the commissions shall be proportionately divided on an equal basis between such General Agents.

6. Indebtedness

a) Company, as additional security and to secure the repayment of any indebtedness due the Company, shall have a first and prior lien against any compensation due You under this Contract and against any other sums due or to become due to You from the Company for any reason. The Company may, at any time, offset such indebtedness against compensation due You or other monies which You may have on deposit with the Company under this Contract or any other agreement with Company. If the Company does elect to offset, the offset shall not constitute an election by the Company to forego any other remedies to collect the indebtedness. Company shall have the right, at its discretion, to charge interest on any indebtedness due to Company by You from the time said indebtedness was incurred at the maximum legal rate. b) You agree to act as guarantor for any subordinate General Agent who is appointed by or assigned to You, and to indemnify Company for the unconditional repayment of accrued debit balances, unpaid advanced commissions or charged back commissions, and any obligations of every nature and kind arising out of or in connection with the subordinate General Agent's contract with Company. Company may at any time offset such indebtedness against compensation due You in the same manner as provided in paragraph 6.a. hereof.

7. Forfeiture

a) In addition to the provisions set out in this Contract, at any time while this Contract is in effect or after it terminates, You shall forfeit and shall not be entitled to receive any commissions otherwise due or to become due, if You: 1) Violate any of the material provisions of this Contract, resulting in termination for cause; 2) Neglect to report and/or pay over to Company any premium collected by You or any of Your subordinate General Agents; or 3) Endeavor to induce General Agents, employees or representatives of Company to discontinue their association with Company, or endeavor to induce the Company's policyowners to relinquish their policies with Company. 4) Commit a fraudulent, illegal or dishonest act adversely affecting the Company, including but not limited to: any misrepresentation as to the terms or provisions of a policy; any alteration, falsification or withholding of any information, whether written or oral, about an applicant or prospective insured; any alteration of any application materials or misrepresentation by You of facts in any application; or the withholding of any required underwriting information; 5) Violate the insurance laws, regulations, or rules of any state in which You or subordinate General Agents transact business or fail to maintain necessary licenses in all states where the same is necessary to receive compensation and perform services.

8. Termination

a) This Contract will continue for an indefinite term, but may be terminated immediately without cause by either party upon written notice and without regard to any statutorily imposed notice which is hereby waived by You and Company. Such notice shall be effective immediately upon mailing to You at your last known address or to Company at Company's last known address. b) If this Contract is terminated as provided in 8(a), You, Your designated beneficiaries or Your successors, administrators, executors, heirs or assigns shall have the vested right to continue to receive all commissions, but not service fees, on business written while this Contract and attached Commission Schedule were in force, except that if commissions in the proceeding calendar year amount to less than \$300.00, then Company's obligation to pay commissions under this Contract shall cease. c) Company may terminate this Contract for cause by sending to Your last known address a written notice of termination, which shall be effective immediately upon mailing of the notice. This Contract may be terminated for cause in the event You: 1) Withhold or misappropriate any money or property belonging to Company; 2) Commit an act of misfeasance or malfeasance in any matter related to the Contract; 3) Fail to comply with any of the material provisions of this Contract; 4) Fail to conform to the rules and regulations of the Company; 5) Fail to comply with the laws, rules, or regulations of any federal, state, or any other governmental agency or body having jurisdiction over this Contract or over any policy submitted by You; 6) Commit any fraud; 7) Fail to pay any indebtedness to the Company after reasonable demand and notice; 8) Actively replace or attempt to replace Company's policies with those of another company; 9) Engage in unethical market conduct or unfair trade practices; 10) Fail to remain properly licensed to sell insurance; or 11) Attempt to induce agents of the Company to leave its service. d) If the Company terminates this Contract for cause, no further first-year or renewal commissions or other compensation of any kind, whether accrued and not payable at the date of termination, or accruable after termination, under this or any previous Contract, shall be payable to You. Nothing herein shall be construed to limit any rights or claims of the Company against You. e) Company may, in its sole discretion, suspend this Contract, temporarily revoking Your authority to represent the Company, during any reasonable period of investigation, to determine whether conditions exist to warrant termination for cause. You shall reasonably cooperate with Company in any such investigation, including production of necessary documents and other requested information. During such period of investigation, Company shall not be obligated to remit any commission or service fee due or becoming due. The Company also reserves the right to withhold compensation at any time pending any investigation of You by any government agency or authority for alleged improper conduct until such time as such investigation has been concluded. This provision shall not affect the Company's ability to otherwise terminate this Contract pursuant to the Termination provisions. f) Upon termination of this Contract, either with cause or without cause, You agree to return to the Company all previously furnished materials, illustration software, supplies, information regarding the Company's insureds, or lead lists, advertising or any and all other printed matter which mentions the Company.

9. Death of General Agent

If you die at a time when compensation is payable to You under this Contract, such compensation shall be paid to the beneficiary or beneficiaries designated by you in this Contract or to the survivor or survivors among them if living. Should the last survivor die before payment of all compensation payable under this Contract, the remainder of such compensation shall be payable to the estate of the last surviving beneficiary. If no designated beneficiary survives You, or if no beneficiary has been designated by you at the time of your death, then any compensation payable in accordance with this Contract shall be payable to your estate.

10. Indemnification

You shall reimburse Company and/or indemnify the Company for any loss, including attorneys' fees, resulting from actions by You or Your appointed General Agents and for all costs, expenses, and attorneys' fees the Company may incur in recovering from You any property or indebtedness belonging to or due the Company. You further agree to indemnify and hold the Company harmless for any claim, loss, expense, cost or liability which it may incur as a result of Your breach of the terms of the Contract or violation of any law or regulation or failure to comply with any court order. Should any claims or lawsuits be made by a third party against You, or your General Agents, as a result of any alleged wrongdoing by You or Your General Agents, then You agree to hold the Company harmless from and indemnify it for any claim, loss, expense, cost or liability which it may incur in defending the action and for any settlement or judgment resulting from such action. The Company may, at its discretion, defend or settle any such claim.

11. Assignment

This Contract may not be assigned without the prior written consent of the Company. No assignment of any commissions, or any portion thereof, due or to become due to You shall be valid unless authorized in writing by Company. Any authorized assignment shall be subject to the provisions of this Contract and to all applicable laws, and shall be subordinate to any indebtedness of You to Company then or thereafter existing.

12. Ethics

Company is committed to ethical marketplace conduct. You hereby acknowledge, understand and agree to abide by Company's ethical market conduct policies and procedures, including, but not limited to the following: a) You are required to adhere to Company's rules and regulations concerning ethical market conduct, which require in part that You: 1) Carefully evaluate the insurance needs and financial objectives of clients, and use only approved forms, sales tools, including policy illustrations and sales brochures, to determine that the insurance or annuity You are proposing is suitable and meets these needs; 2) Maintain a current license and valid appointment in all states in which You promote the sale of Company's products to customers and keep abreast of current changes in insurance laws and regulations by reviewing the bulletins, newsletters, notices and information that Company publishes; 3) Submit all advertising materials intended to promote the sale of Company's products to the home office for approval prior to use; 4) Immediately report in writing to Company any customer complaints, whether written or oral, and assist Company in resolving the complaint to the satisfaction of all parties; 5) Communicate these standards to any General Agents or office personnel that You directly supervise and request their agreement to be bound by these conditions as well. 6) Keep confidential any non-public personal information that You receive from or relating to any of the Company's insureds or customers and not disclose

any such information to any third party except as permitted by law.

13. **Withdrawal Provisions**

Without any liability to You, the Company may withdraw or discontinue any form, or forms, of policies enumerated herein, or which may hereafter be issued and also reserves the right to comply with any legislative enactment or department ruling, or to withdraw from any part, or parts, of the territory in which You operate. It is further agreed that the provisions of this contract may be modified or changed without Your consent, if the same shall conflict with any Federal or State law or regulation, or the ruling of any court or State Insurance Department.

Article III – General Provisions

1. **Jurisdiction and Venue**

This Contract shall be governed by the laws of the State of Kansas applicable to agreements executed and performed within the State of Kansas and without giving effect to rules for conflicts of laws. The parties agree that they are subject to personal jurisdiction within the State of Kansas and consent that any action in law or equity shall be brought in Shawnee County, Kansas.

2. **Non-Waiver**

The forbearance or neglect of Company to insist upon strict compliance with any of the provisions of this Contract, whether continuing or not, or to terminate this Contract, shall not be construed as a waiver of any of the Company's rights or privileges hereunder.

3. **Amendments**

This Contract may be amended only by written instrument, executed by a duly authorized officer of the Company, which by its terms expresses an intention to modify this Contract.

4. **Entire Agreement**

This Contract, together with the attached commission schedules, supersedes any and all previous Contracts or agreements, whether oral or written, between the parties hereto.

By: Date:
General Agent Signature, "You"

By: Date:
General Counsel/Secretary Les Diehl
American Home Life Insurance Company, "Company"

TO BE EXECUTED IN CASE OF ASSIGNMENT OF COMMISSIONS TO A CORPORATION.

FOR VALUE RECEIVED, I hereby assign all commissions payable under the contract until further written notice to be made payable to:

Corporation Name

Tax Identification Number

General Agent Signature Date